

complaint

Mr M complained that Covea Insurance plc has voided his commercial motor insurance policy and that it disposed of his vehicle without his permission.

background

Mr M took out a commercial motor insurance policy with Covea through a broker. His vehicle subsequently suffered what appeared to be fire damage but Covea's engineer said it was caused by an electrical fault and so was not covered under the policy.

Covea subsequently found out that Mr M had made a previous claim for the theft of a vehicle some two years earlier. The vehicle was recovered with no damage, so Mr M had withdrawn the claim. Mr M says that, as he did not claim, he did not believe he had to declare it to Covea.

Covea says that Mr M was asked a clear question by the broker - *"have you had any motoring incidents, accidents or claims regardless of fault, including theft in the last 5 years on any vehicle driven whether you have claimed or not"* - to which he replied no. As a result of the non-disclosure of the withdrawn theft claim Covea voided the policy.

Mr M says that he genuinely did not believe he had to disclose the withdrawn theft claim and complains that Covea voided the policy. He is also unhappy that Covea advised him that it had disposed of his vehicle.

Our adjudicator recommended that the complaint should be upheld. In summary he considered that:

- Mr M was not required to disclose a settled theft claim. He was asked by his broker to disclose the incident, but all he was required to disclose was a "notification only" incident.
- Having reviewed Covea's underwriting criteria it would have provided Mr M with insurance had he disclosed a "notification only" incident. The voidance was therefore unfair.
- It was wrong for Covea to dispose of Mr M's vehicle which remained his property.
- The engineer's report was sufficiently clear to show that the damage to the vehicle was caused by a mechanical fault and so Covea was not required to settle the claim, whether the policy should have been voided or not.
- Covea should therefore remove the voidance from Mr M's record and pay Mr M compensation of £200 for the voidance of the policy. It should also pay him the amount that it received for the vehicle's salvage and 8% interest on that amount together with a further £500 compensation for disposing of the vehicle.

In summary Covea says that, even if Mr M had only been asked to disclose a notification only claim, the premium would have increased. So it was entitled to void the policy. He was asked a clear question and told of the consequences of not disclosing information. It did, however, accept the adjudicator's recommendation in respect to the disposal of the vehicle and agreed to pay Mr M £500 in compensation and the amount it received in salvage. Covea has asked for an ombudsman review.

Mr M has recently withdrawn the part of his complaint relating to the disposal of the vehicle as he is not satisfied with the proposed compensation and he wishes to obtain legal advice and pursue the

matter through other alternative means. He has asked for an ombudsman review only of the non-disclosure and voidance part of his complaint.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

This service is designed to be informal and to resolve problems arising between consumers and their financial services providers and my role, as an ombudsman, is to consider the individual complaint and decide whether something has gone wrong. I am required to reach a decision on a complaint that is fair and reasonable in all the circumstances, taking into account – but not necessarily being bound by – any relevant law (amongst other things). But a court may take a different view of the situation. Should Mr M not accept my final decision then any rights he may have to take action in the courts against Covea are unaffected and he will be free to pursue his arguments in any court action that may arise, if he so wishes.

As Mr M has withdrawn the part of his complaint relating to the disposal of the vehicle I will deal only with the remaining part of it dealing with the non-disclosure and voidance of the policy.

If an insurer wishes to void a policy it must demonstrate that it asked a clear question to obtain the material facts and had the true facts been disclosed it would not have offered insurance. The policy holder is required to answer the question truthfully and to the best of their knowledge and belief.

I consider, on balance, that Mr M was asked a clear and unambiguous question by his broker. Although I consider the withdrawn theft claim was an incident and should properly have been disclosed, I can however understand why Mr M may have believed, not unreasonably, that it was not disclosable as it had been withdrawn and as far as he knew, no payments had been made by his then insurer. I am certainly not persuaded that Mr M's non-disclosure was deliberate or reckless as Covea has suggested.

Furthermore, and in any event, Covea would have still insured Mr M if the withdrawn theft claim had been disclosed as a notification only incident, albeit at a slightly increased premium. As such, in all the circumstances, I do not consider that it was fair or reasonable for Covea to have voided the policy as it did. It was however entitled to decline the claim as it was for damage caused by a fire resulting from an electrical fault.

Consequently, I agree with the adjudicator that it is fair and reasonable for Covea to remove the voidance from Mr M's record and pay him compensation of £200 for the voidance of the policy and the distress and inconvenience caused.

my final decision

My final decision is that I uphold this complaint in part and I order Covea Insurance plc to remove the voidance from Mr M's record and pay him £200 compensation.

Stephen Cooper
ombudsman